

Check who holds the major related positions? Who might benefit, and what is the frequency of such transactions?

As seen, the majority of transactions of this company are with associates and joint ventures, not key managing personnel. **Thus no individual benefits can be found as such.**



Understand transactions relating to each class well and the purpose of the transaction



We need to know why the company buys such high amount of goods from Vinyl Chemicals. The reason can be anything. They might provide some important supplies to the company that are important for its day-to-day operations. We must understand such transactions. If the transactions are unfair, we must question the management and dig deeper.

To summarize, these questions help us evaluate Related Party Transactions:

- ◇ How large is the Related Party Transaction?
- ◇ Who benefits from this?
- ◇ Understand the transaction and the reason for this transaction?

In this case, the overall transaction amount is not very high. Thus, Related Party Transactions for this company should not be a problem. There is no other significant Related Party Transaction apart from Vinyl Chemicals. This is a very good sign in terms of how the company is governed and operated.